

Daly's stock investing methodology and philosophy can be summarized as follows:

- Stick to businesses you understand.
- Find companies in those businesses that are undervalued vis-à-vis the pertinent metrics or similar competitors.
- Take profits when prices move up to fair valuation levels.
- Sail into a cash harbor when the market seas turn stormy.
- Stick to the basic process, and never take flyers.
- Treat investments as a business, not as a gamble.

Daly has one important edge that is also shared by virtually every reader of this book: small asset size. Daly manages only \$50 million, which is small by fund manager standards. This smaller size allows Daly to range broadly across the capitalization spectrum, including companies that would be too small to trade if he were managing several hundred million dollars, let alone billions of dollars. Some of the best opportunities have come in these smaller cap issues. Daly fully understands the advantage of managing smaller assets, which is one reason why he has made virtually no effort to raise additional assets. Individual investors may feel they are at a major disadvantage to large hedge fund managers, but they actually have an important advantage: Their small trading size allows them to move in and out of positions, even less liquid equities, with virtually no market impact.

The larger the assets, the more difficult it is for a manager to enter and liquidate positions without incurring significant slippage costs. Also, as the assets managed grow, the universe of possible opportunities shrinks. For large hedge fund managers, many markets and securities cannot be traded, simply because the size at which they could trade these markets and still have adequate liquidity is too small to have much impact on their portfolio, and hence not worth the bother. Although some managers have been able to maintain performance with large assets under management, I have also seen many managers who did very well while trading smaller asset levels, but then experienced significant performance deterioration when they allowed their assets to grow beyond the optimal level for their methodology. For managers, the discipline to turn down additional investor assets when they believe it would impede their performance is an important element in longer-term success.